

STOCK MARKET

INTRODUCTION & KEY CONCEPTS

What is the Stock Market?

- A marketplace where **shares of companies** are bought and sold.
- It acts as a bridge, helping companies raise capital for expansion and growth.
- Allows investors to earn returns through **price appreciation** and **dividends**.
- Plays a major role in a country's economic development by mobilizing savings.



Types of Stock Markets

1. Primary Market

Where companies issue new shares to the public for the first time, known as an **IPO (Initial Public Offering)**.

In this market, money flows directly from investors to the company.

2. Secondary Market

Where investors buy and sell already-issued shares amongst themselves.

Stock exchanges like **NSE** and **BSE** facilitate these trades. The company does not receive money here.

Major Stock Exchanges



NSE (National Stock Exchange): India's largest exchange by turnover. Benchmark index: **Nifty 50**.



BSE (Bombay Stock Exchange): Asia's oldest stock exchange. Benchmark index: **Sensex 30**.



SEBI: The Securities and Exchange Board of India regulates the market to protect investor interests.

Key Market Participants



Retail Investors

Individual investors like us who buy and sell securities for personal accounts.



Institutional Investors

Large entities like Mutual Funds, Banks, FIIs (Foreign), and DIIs (Domestic).



Stock Brokers

Intermediaries like Zerodha, Upstox, and Angel One that execute trades.

Basic Market Terminology



Bull Market

Market rising continuously;
optimism prevails.



Bear Market

Market falling continuously;
pessimism prevails.



Market Cap

Total value of a company = Share Price
× Total Shares.

Investment Strategies

Fundamental Analysis

Focuses on a company's financial health, revenue, profit margins, and future growth. Used primarily for **long-term investing**.

Technical Analysis

Focuses on historical price patterns, volume, and chart trends to predict future price movements. Used primarily for **short-term trading**.

Benefits of Investing



Wealth Creation: Historically, equities have outperformed other asset classes over the long term.



Beat Inflation: Returns from stocks often exceed the inflation rate, preserving purchasing power.



Passive Income: Dividend payments provide a steady stream of extra income.



Liquidity: Stocks can be easily bought or sold during market hours.

Risks to Consider



Market Volatility: Prices fluctuate frequently based on supply and demand.



Economic & Global Risks: Inflation, recession, wars, and pandemics can impact the entire market.

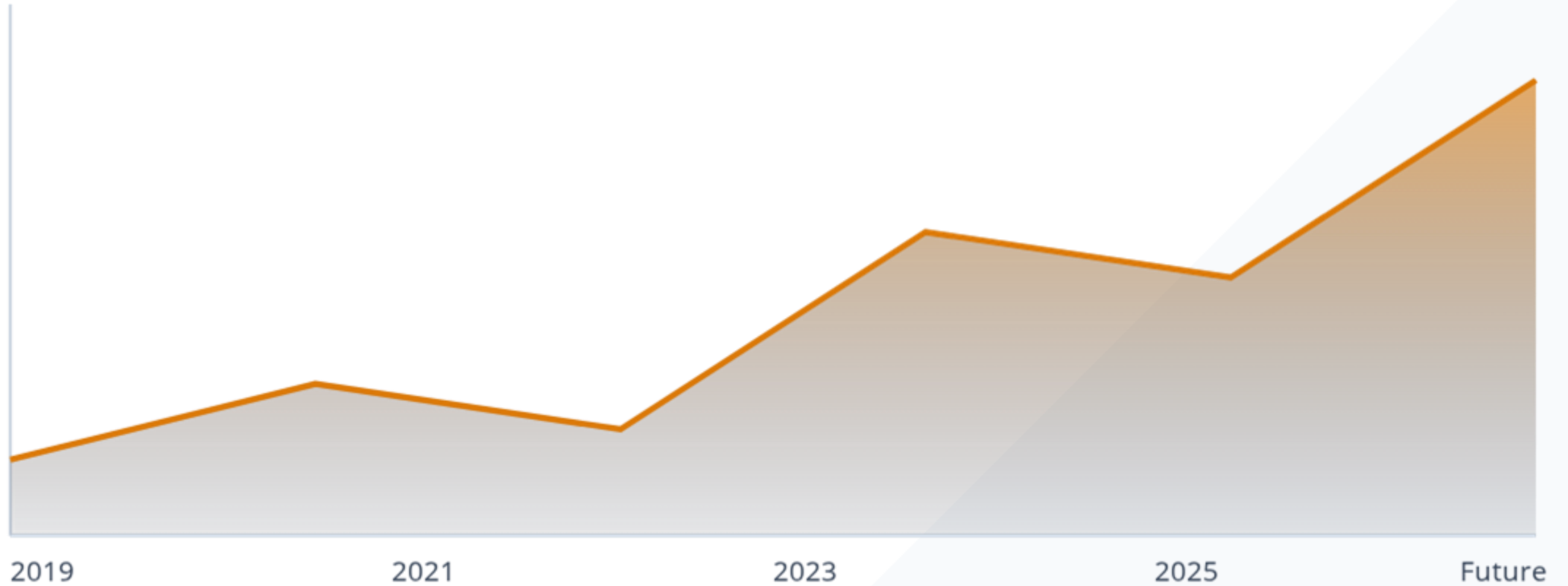


Company Risks: Poor performance, bad management, or corporate fraud can lead to capital loss.



Risk Management: It is crucial to diversify (don't put all eggs in one basket) to mitigate these risks.

Long Term Market Trends



Despite short-term volatility, the market generally trends upwards over the long term, rewarding patient investors.

Conclusion

The stock market is a crucial engine for economic growth and wealth building. While it offers significant opportunities for returns, it requires knowledge, patience, discipline, and risk management.

Smart Investing + Long-term Holding = Success

Thank you

Thank you for your attention.

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